Monetary Policy Statement

July-December 2014

Chief Economist`s Unit and Monetary Policy Department

Bangladesh Bank

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Monetary policy statement (July-December 2014: H1FY15)

Executive Summary

This issue of the Bangladesh Bank (BB) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance that BB will pursue in H1 FY15 (July-December 2014), based on an assessment of global and domestic macro-economic conditions and outlook. This MPS was preceded by productive consultations with key stakeholders and web-based comments were also received.

The last MPS (January 2014) was based on certain key assumptions and policy directions. A review of developments over the past six months suggests that most of these assumptions materialized and solid progress was made towards achieving the key goals. The January 2014 MPS projected that economic growth would range from 5.8%-6.1% and BBS's preliminary estimate released recently suggests that growth for FY14 was 6.1%. The last MPS also explained that policy rates were being kept unchanged due to the risks of inflationary pressures but in order to support economic growth, macro-prudential policies and other incentives would be used. The last MPS also aimed to contain reserve money growth to 16.2% and broad money growth to 17.0% by June 2014. Latest data for H2FY14 shows that reserve money growth and growth of net domestic assets of Bangladesh Bank remained within program ceilings. Broad money growth of 15.2% in May 2014 undershot program ceilings due both to lower public and private sector borrowing from the banking sector. BB's facilitation of private sector trade credit from abroad led to some switching to lower cost overseas financing with overall private sector credit growth, from both local and foreign sources, amounting to 15.7% in May 2014. Domestic retail interest rates declined during these six months but the spread between lending and deposit rates rose indicating that lending rates have declined by less than deposit rates.

Adherence to the monetary program contributed to non-food point-to-point inflation falling from 9.09% in January 2013 to 5.16% in May 2014 though it rose to 5.45% in June 2014. Point to point food inflation rose steadily from 5.02% to 9.09% during January 2013-May 2014 but fell to 8.00% in June 2014. Overall average inflation declined from 7.60% to 7.35% during H2FY14 largely driven by the decline in non-food inflation.

The last MPS aimed to preserve external sector stability, building up reserves and avoiding excessive volatility of the exchange rate. Improved external balances are reflected in the accumulation of international reserves of about USD2.8 billion during H2FY14 with gross reserves of around 21.6 billion at the end of June 2014, sufficient to cover over six months of projected imports. The Taka: USD nominal exchange rate remained stable in H2FY14 and BB's interventions in the foreign exchange market have significantly limited the loss of external competitiveness by stemming any significant appreciation of the Taka.

The January 2014 MPS also sought to strengthen credit and debt markets by taking steps to improve corporate governance, supervisory capacity, stimulate higher demand for government securities and broaden financing options. The enhanced authority given to BB over the appointment and dismissal of senior management in SOCBs in the 2013 revisions to the Bank Companies Act has been exercised providing a clear signal to the industry. The temporary relaxation of loan classification and provisioning policy introduced during the December 2013 turmoil expired in June 2014. Stringent financial improvement plans have been set with the four SOCBs and Basic Bank which include differential ceilings on loan growth. Debt markets are becoming active with several recent auctions over-subscribed and a sharp fall in devolvement from 26.6% in H1FY14 to 5.3% in H2FY14. While primarily an SEC issue, BB will be supportive of the capital market through on-going deeper regulatory coordination and policy support. Moreover in order to fill the gaps in the financial landscape, BB has begun a review of rules governing private equity along with SEC. Access to finance will also be broadened with more emphasis on the smaller end of the SME spectrum. 14 million no-frill '10 taka accounts' have been opened by the end of June 2014

compared with 13.2 million at the end June 2013. BB has also set up a 2 billion taka refinancing facility via micro-finance institutions, to provide small loans to those lower-income rural households who have set up 'ten-taka' accounts. Efforts at strengthening socially responsible banking also include greater emphasis on 'green banking' and enhanced corporate social responsibility.

The monetary stance in H1FY15 takes these recent economic and financial sector developments into account and will target a monetary growth path which aims to bring average inflation down to 6.5% by end FY15, while ensuring that credit growth is sufficient to stimulate inclusive economic growth. The risks to the inflation target include global food price volatility, any shocks to domestic crop output and the knock-on impacts of any upward adjustments in public sector wages.

BB will use both monetary and financial sector policy instruments to achieve these goals. The persisting inflationary pressures over the past few months with the risks ahead related to the inflation outlook imply that achieving the FY15 inflation target will be challenging. At the same time the significant liquidity in the banking system has led to a sharp rise in reverse repo operations with consequent costs to BB and ultimately the taxpayer. For both these reasons BB decided to raise the Cash Reserve Requirement (CRR) by 50 basis points in June 2014.

Specifically BB will aim to contain reserve money growth to 15.5% and broad money growth to 16.0% by December 2014. The space for private sector credit growth of 16.5% (including foreign borrowing by local corporates) has been kept well in line with output growth targets and is sufficient to accommodate any substantial rise in investment over the next six months. BB views these figures as indicative ceilings – banks continue to be advised to lend only to creditworthy clients for productive purposes. At the same time these ceilings are flexible and the monetary program can be recalibrated should economic growth pick up faster than projected. The projected pick-up in economic growth in FY15 should absorb some of the current excess liquidity though BB stands ready to use its range of instruments to further limit excess liquidity as and when required. Fiscal-monetary coordination will continue and the track record of containing government borrowing well within budgetary limits is expected to continue, furhter limiting any crowding out of private sector borrowing.

In parallel various recent initiatives to support economic growth are being deepened. For instance, in order to promote exports, BB has recently increased the Export Development Fund from $1.2 billion to $1.5 billion. With a view to attracting foreign investment, BB has relaxed restrictions on foreign investor borrowing from the local market and their ability to access working capital financing from their parent company.

Effective transmission of monetary policy requires strengthening credit and debt markets and this will remain a key focus for BB. Revised performance agreements for SOCBs and specialized banks have set differentiated ceilings on loan growth depending on bank performance – quarterly performance targets will continue to be published on BBs website to promote public accountability. Clear progress on implementing automation benchmarks in the SOCBs is a pre-condition for sanctioning the release of additional recapitalization funds. BB will continue to collaborate with BSEC through regular coordination meetings regarding capital market stability and development issues. The cumulative effect of these and other reforms will strengthen the financial sector.

This monetary policy stance also aims to preserve the country's external sector stability. BB anticipates further build-up in foreign reserves in FY15 though at a more moderate pace than FY14. While the projected decline in remittances has not adversely affected external stability in FY14 (and is highly unlikely to do so in FY15 if current conditions prevail) it is imperative that manpower exports resume its growth so that remittances can remain an important part of medium-term external balance. BB will continue to support a market-based exchange rate while seeking to avoid excessive foreign exchange rate volatility.

Global context

Although global growth prospects for 2014 (3.6%) are higher than the previous two years, the road to recovery in the advanced economies is projected to remain uneven. Key trading partners, the US and the EU, are projected to grow faster in 2014 but private demand still remains very sluggish in the Euro Area. On the other hand, Emerging Market and Developing Economies (EDEs) are experiencing a multi-speed recovery process with growth projected at 4.9% in 2014 and 5.3% in 2015 – which have both been revised marginally downwards by about 0.2% points and 0.1% points since the January 2014 MPS (H2FY14). While China is projected to grow at around 7.5% in 2014 and 7.3% in 2015, the Indian economy is projected to grow by 5.4%, with a projected pick-up to 6.4% in 2015 (see Table 1).

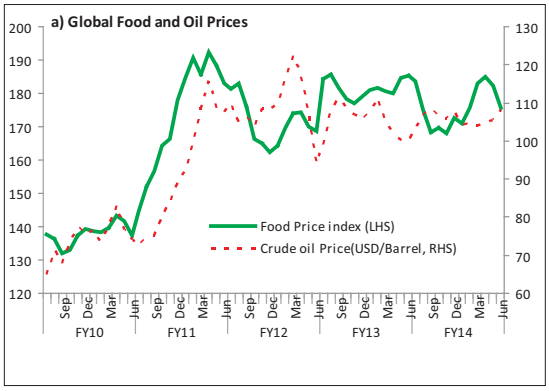
Table 1: Overview of the World Economic Outlook Projections

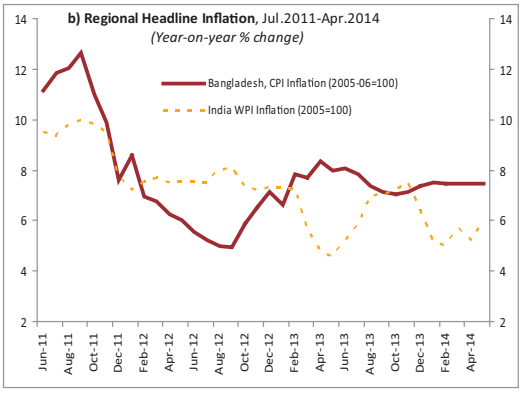
	Year over Year (% changes)					Difference from January 2014 WEO Update	
				Projections			
	2011	2012	2013	2014	2015	2014	2015
GDP at constant prices							
World	**3.9**	**3.2**	**3.0**	**3.6**	**3.9**	**-0.1**	**-0.1**
Advanced Economies	1.7	1.4	1.3	2.2	2.3	0.0	0.0
USA	1.8	2.8	1.9	2.8	3.0	0.0	0.0
Euro Area	1.6	-0.7	-0.5	1.2	1.5	0.1	0.1
Other Advanced Economies	3.2	1.9	2.3	3.0	3.2	0.1	0.0
Emerging Market and Developing Economies	6.2	5.0	4.7	4.9	5.3	-0.2	-0.1
China	9.3	7.7	7.7	7.5	7.3	0.0	0.0
India	6.3	4.7	4.4	5.4	6.4	0.0	0.0
World Trade Volume (goods and services)	**6.2**	**2.8**	**3.0**	**4.3**	**5.3**	**-0.1**	**0.1**

Source: IMF World Economic Outlook (April 2014)

Commodity prices and regional inflation continue to pose a key country risk. Crude oil prices have been remarkably stable over H2FY14 though reached their six-month high in June due to events in Iraq. Escalation of future uncertainties in the Middle East may have a significant impact on oil price volatility. On the other hand global food prices have increased somewhat over the past six months (chart 1a) from H1FY14's low levels, as supply concerns emerged for various food commodities due to adverse weather and disease. FAO forecasts that global food prices are expected to remain uncertain as well over the next six months. There is some correlation between Indian and Bangladeshi inflation (chart 1b). Indian inflation has fallen in recent months (WPI was 6.4% in December 2013 and 6.0% in May 2014 while CPI fell from 9.9% to 8.3% during the same period) but it remains high and only further significant declines will make a material difference to inflation in Bangladesh.

Chart 1: Global Commodity Prices and Regional Inflation





Recent economic developments

Domestic output growth: The final GDP growth number for FY13 released by BBS in May 2014, was 6.0% down from the earlier 6.2% provisional estimate released a year earlier. BBS' preliminary estimates for FY14 growth is 6.1% (see Table 2) in line with its ten year average, and higher than the average GDP growth in developing countries of 4.9% in 2014. Manufacturing sector growth was lower in FY14 compared with the previous year partly due to disruptions during the national strikes. However agricultural growth is higher in FY14 though the final output numbers for the 'boro' rice crop may affect the final growth figure. The services sector, which is over half of GDP, proved resilient in FY14 according to these preliminary estimates by BBS.

Table 2: Gross Domestic Product of Bangladesh at Constant Prices by Broad Industry Sector, 2010-11 to 2013-2014

Broad industry sector Growth rate (%)	2010-11	2011-12	2012-13	2013-14
1. Agriculture	4.5	3.0	2.5	3.3
2. Industry	9.0	9.4	9.6	8.4
of which Manufacturing	10.0	10.0	10.3	8.7
of which Construction	7.0	8.4	8.0	8.6
3. Services	6.2	6.6	5.5	5.8
GDP at constant market price	6.5	6.5	6.0	6.1

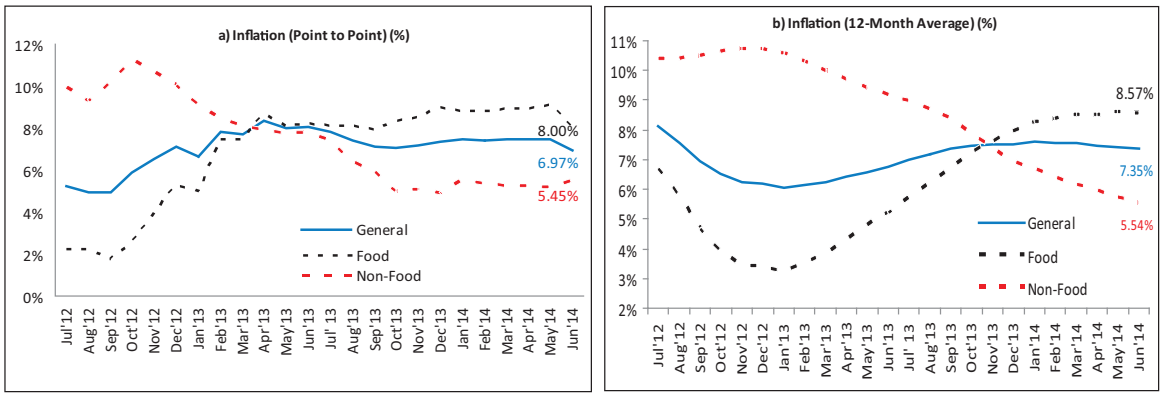
Source: Bangladesh Bureau of Statistics (BBS).

BB's current forecast is that output growth will pick up in FY15 and should there be no major disruption to the economy, output growth could range between 6.2-6.5%. BB will update its forecasts on a regular basis during the course of the year and the monetary program will also be flexible to accommodate a significant change in these forecasts, including any upsurge in investment demand commensurate with the FY15 Budget expectation.

Inflation

Point to point inflation data shows that food inflation has risen steadily from 5.02% in January 2013 to 9.09% in May 2014. Part of the rise was due to supply disruptions caused by the unrest of late 2013. The widening gap between wholesale and retail rice and flour prices after January 2014 suggests that middlemen in the food distribution network may have raised their margins to make up for losses during the disruptions. Another feature of recent food inflation is that the gap between rural and urban food inflation has narrowed and the higher rural food inflation could be due to higher purchasing power due to rural wage growth and expanded safety net coverage. However food inflation for June 2014 declined to 8.00% possibly due to declining global and regional food prices. On the other hand, point to point non-food inflation steadily declined, from 9.09% in January 2013 to 5.16% in May 2014. This is due to the adherence to the monetary program as well as a slowdown in credit growth and remittances. However in June 2014, there was a slight uptick in non-food inflation as it rose to 5.45%, perhaps due to increased consumer demand as Eid-ul-Fitr approaches. The rise in food inflation pushed up average inflation from 6.06% in January 2013 to 7.53% in December 2013 though over the past six months the decline in non-food inflation has contributed to a fall in average inflation to 7.35% in June 2014 (see chart 2).

Chart 2: Inflation



Source: Bangladesh Bureau of Statistics (BBS)

Looking ahead, the FY15 inflation target announced in the Budget is 6.0%. Reducing average inflation from its current 7.4% level may prove challenging especially as aggregate demand is likely to pick up in H1FY15 and in general twelve-month average inflation, by definition, only changes in an incremental manner. The implications for the monetary stance are discussed later in the MPS.

The **current account balance (CAB)** recorded a surplus of USD 1543 million during July-May FY14 compared to a surplus of USD 2346 million during the same period of the preceding fiscal year. Our estimates for FY14 suggest that exports are likely to growth at 13% and cross the $30 billion mark. Moreover import growth of 10% is lower than export growth, narrowing the trade deficit. The smaller

current account surplus relative to FY13 is due to a negative remittance growth of -1.6%. Supported by a significant surplus in the combined capital and financial account, the estimated overall balance recorded a surplus of USD 5900 million in FY14. This contributed to foreign exchange reserves reaching USD 21.5 billion at the end of H2FY14 compared with USD 15.3 billion at the end of FY13.

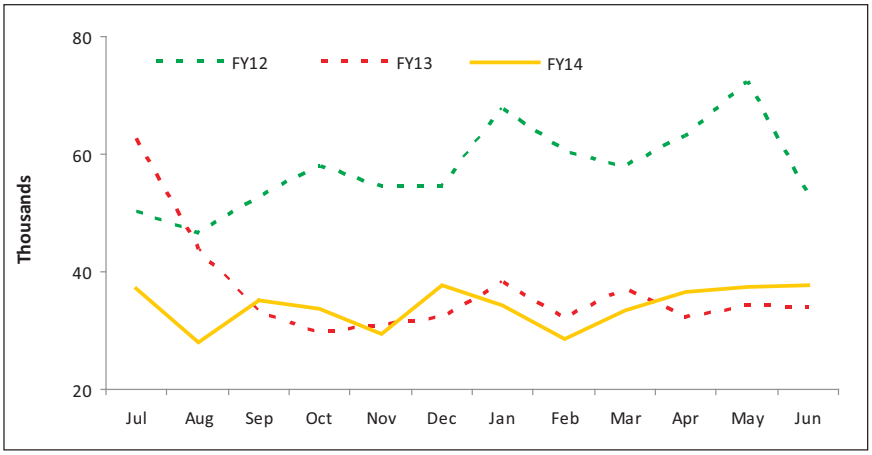
In order to protect Bangladesh's external competitiveness, Bangladesh Bank continued its interventions in the domestic foreign exchange market with a net purchase of foreign currencies amounting to USD 2.35 billion during H1FY14 and USD 2.80 billion in H2FY14.

Table 3: External Balances Summary

Items		FY11	FY12	FY13	Jul. - May. FY14
Export(% changes)		41.5	6.0	11.2	12.6
Import (% changes)	F.o.b (including EPZ)	52.1	2.4	0.8	9.8
	L/Cs Opened	34.0	-4.0	-2.8	13.3
Remittances(% changes)		6.0	10.2	12.6	-3.6
FDI (in million USD)		775	1,192	1,300	1,413
Overall Balance (in million USD)		-656	494	5,128	4,971
Forex Reserves (in million USD)		10,912	10,364	15,315	20,267
Exchange Rate (Tk./USD)		74.2	81.8	77.8	77.6

Remittance growth slowed sharply in H1FY14 with some signs of pick-up in H2FY14. The overall decline in remittances for FY14 of around 2% was largely due to the inflows in H1FY14 when the remittance decline was -8.4%. In H2FY14 remittance growth was 5.6%. Data from the Bureau of Manpower, Employment and Training on the numbers of workers moving abroad partly explains the sluggish performance of remittances in FY14 though the pick-up in H2FY14 provide some grounds for optimism (see chart 3).

Chart 3: Monthly Trend of Numbers of Workers Moving Abroad



Source: Bureau of Manpower, Employment and Training (BMET), Bangladesh

The **capital and financial account** shows that the estimated foreign direct investment in FY14 is $1550 million concentrated in three largest sectors - telecommunications, power and textiles. New foreign firm entry was limited given recent domestic uncertainties and the bulk of this has been re-investment of existing companies. Estimated net aid flows of $1230 million in FY14 were marginally higher than the $1228 in FY13.

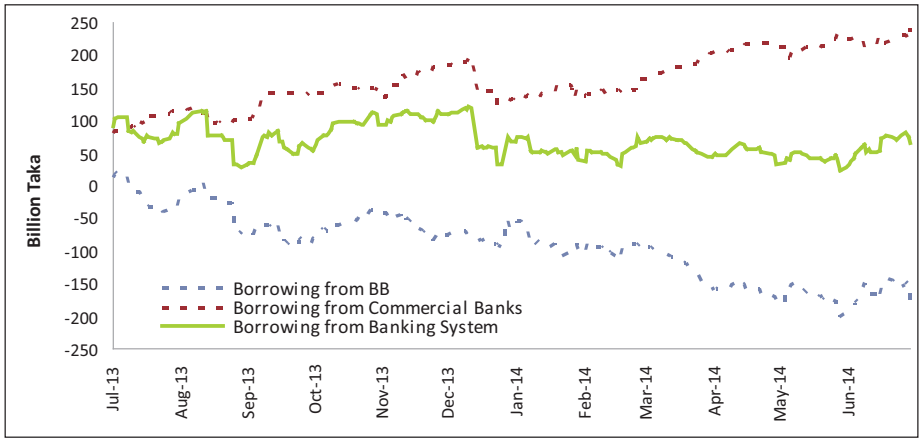
Avoiding excessive **exchange rate** volatility remains a key objective of BB. The nominal value of the Taka against USD barely changed in H2FY14 while real exchange rate data indicate a marginal impact on export competitiveness[1]. However, BB's interventions in the foreign exchange market have protected exporters by slowing the appreciation of the Taka. Moreover by opening up working capital borrowing at lower interest rates from foreign sources to exporters in FY13, and increasing the Export Development Fund size, as well as expanding the sectors eligible for the Fund, BB is actively promoting export competitiveness.

Looking ahead to H1FY15 our balance of payments projections assumes there will be a pick-up in imports as investor confidence grows, and robust export growth as global trade volumes are projected to rise. We also project a slightly positive remittance growth partly due to the 'low base effect' arising from negative remittances in FY14. These assumptions imply that for FY15 we project overall export growth of 12%, import growth of 15% and remittance growth of 4% - the historical pattern in the capital and financial account suggests that the overall balance will be in surplus.

Government borrowing (net) from the banking system was significantly lower than projected in both the original and revised FY14 Budget. Government borrowing (net) from the banking system amounted to 64.3 billion in FY14 against an original budget provision of 260 billion for the whole of FY14 and a revised Budget estimate of 300 billion. The relatively low borrowing levels partly relates to the slow pace of ADP implementation (50% implementation between July-April in FY14 compared with 56% during the same period a year earlier) and a sharp rise in revenue from the sales of National Savings Certificates as the differential between their returns and that of bank fixed deposit rates has grown. Savings certificates sales between July-May of FY14 of BDT 100.2 billion compares with BDT 7.7 billion for the whole of FY13. The overall net borrowing from the banking system is the sum of borrowing by the Government from Bangladesh Bank and borrowing by the Government from scheduled banks. Chart-4 illustrates how this pattern has varied. In FY14 government made a net repayment to BB of 175.5 billion taka while borrowing 239.9 billion from scheduled banks. In view of the lower than targeted borrowing Government could use this fiscal space to settle over dues of the public sector to the financial sector.

[1] For further details see IMF (2013) "Bangladesh Article IV Staff Report", Washington DC

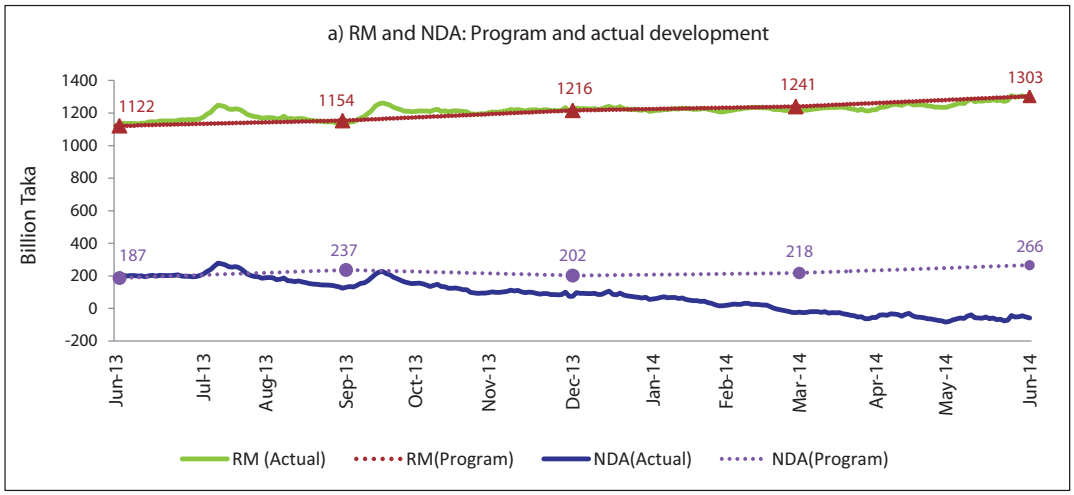
Chart 4: Net Credit to the Government from the Banking System

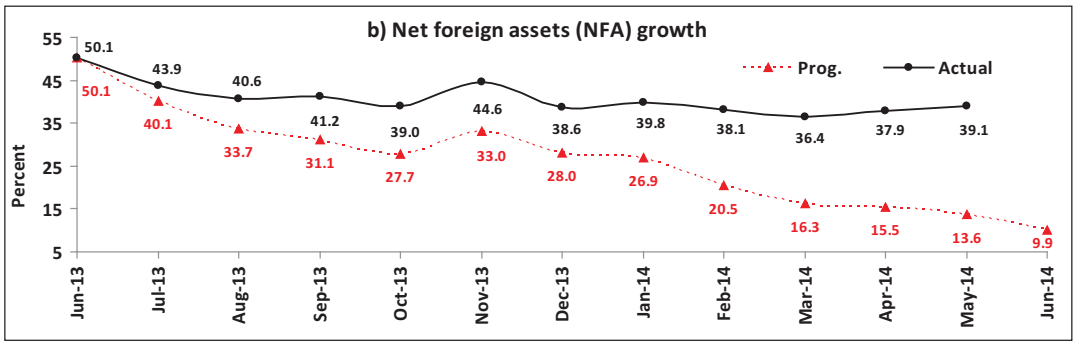


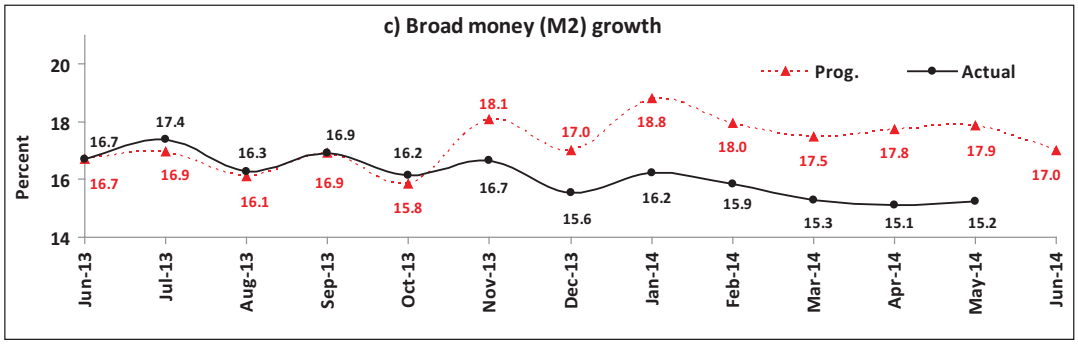
Monetary growth targets for H1FY14 stayed on track. Reserve money (RM) growth and growth of net domestic assets (NDA) of Bangladesh Bank, which are critical anchors of the monetary program, remained within program targets (see chart 5a).This was despite a surge in Net Foreign Assets (NFA) of BB (chart 5b shows NFA growth of both BB and scheduled banks) which were sterilized via reverse repo operations, selling BB bills and Islamic Bonds. Reverse repo operations grew significantly in the last few weeks of H2FY14 following a Government decision to temporarily suspend Treasury Bill auctions (see chart 6). As a result, and in light of persisting inflationary pressures, BB decided to raise the Cash Reserve Ratio from 6% to 6.5% in June 2014.

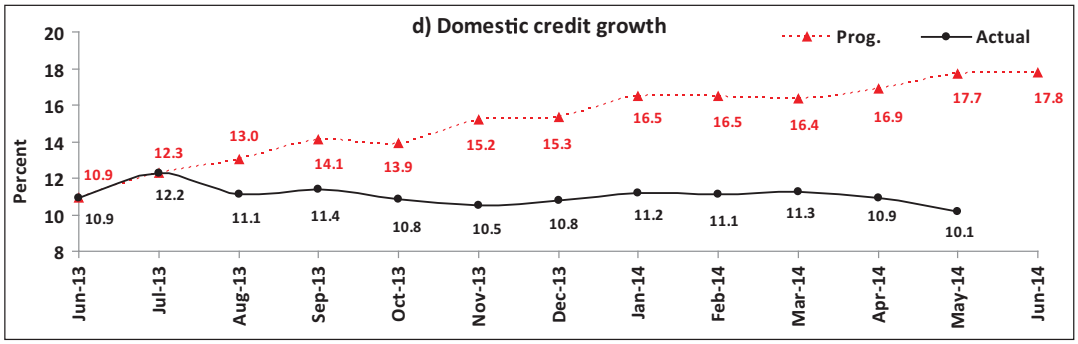
Broad money growth trends (chart 5c) are below the program path (15.2% growth in May 2014 compared with 17.9% target), since domestic credit growth (chart 5d) fell short of the anticipated rate due to shortfalls in both private and public sector credit growth (charts 5e and 5f).

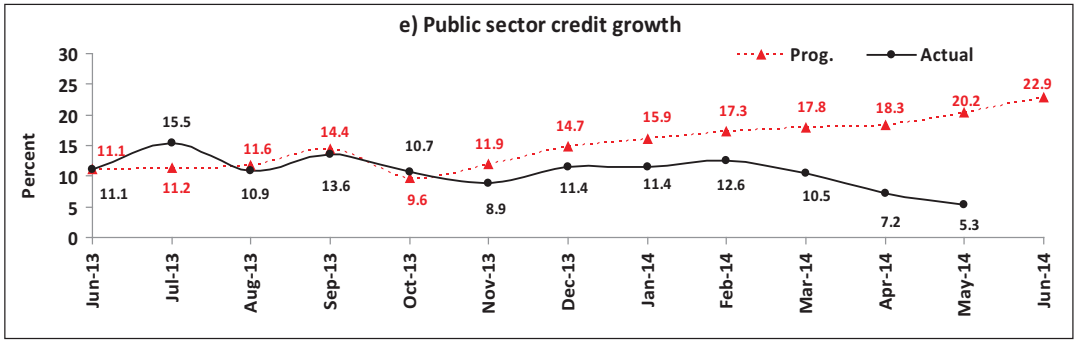
Chart 5: Monetary Program Indicators




b) Net foreign assets (NFA) growth
Prog.
Actual
Percent
55
45
35
25
15
5
50.1
43.9
40.6
41.2
39.0
44.6
38.6
39.8
38.1
36.4
37.9
39.1
50.1
40.1
33.7
31.1
27.7
33.0
28.0
26.9
20.5
16.3
15.5
13.6
9.9
Jun-13
Jul-13
Aug-13
Sep-13
Oct-13
Nov-13
Dec-13
Jan-14
Feb-14
Mar-14
Apr-14
May-14
Jun-14


c) Broad money (M2) growth
Prog.
Actual
Percent
20
18
16
14
16.7
17.4
16.3
16.9
16.2
16.7
15.6
16.2
15.9
15.3
15.1
15.2
16.7
16.9
16.1
16.9
15.8
18.1
17.0
18.8
18.0
17.5
17.8
17.9
17.0
Jun-13
Jul-13
Aug-13
Sep-13
Oct-13
Nov-13
Dec-13
Jan-14
Feb-14
Mar-14
Apr-14
May-14
Jun-14


d) Domestic credit growth
Prog.
Actual
Percent
20
18
16
14
12
10
8
10.9
12.2
11.1
11.4
10.8
10.5
10.8
11.2
11.1
11.3
10.9
10.1
10.9
12.3
13.0
14.1
13.9
15.2
15.3
16.5
16.5
16.4
16.9
17.7
17.8
Jun-13
Jul-13
Aug-13
Sep-13
Oct-13
Nov-13
Dec-13
Jan-14
Feb-14
Mar-14
Apr-14
May-14
Jun-14


e) Public sector credit growth
Prog.
Actual
Percent
30
25
20
15
10
5
0
11.1
15.5
11.6
14.4
10.7
11.9
14.7
15.9
17.3
17.8
18.3
20.2
22.9
11.1
11.2
10.9
13.6
9.6
8.9
11.4
11.4
12.6
10.5
7.2
5.3
Jun-13
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Jun-14

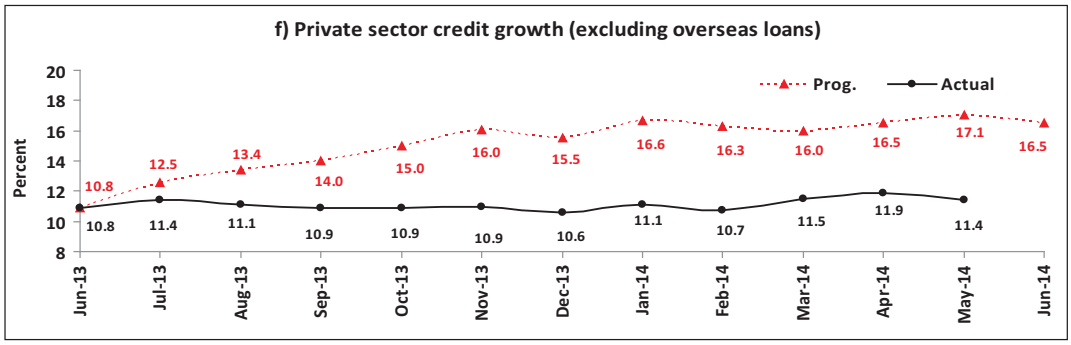
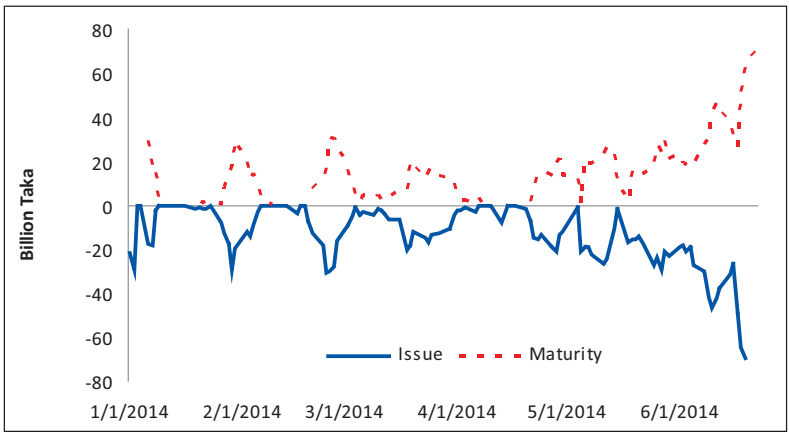

f) Private sector credit growth (excluding overseas loans)
Prog.
Actual
Percent
20
18
16
14
12
10
8
10.8
11.4
11.1
10.9
10.9
10.9
10.6
11.1
10.7
11.5
11.9
11.4
10.8
12.5
13.4
14.0
15.0
16.0
15.5
16.6
16.3
16.0
16.5
17.1
16.5
Jun-13
Jul-13
Aug-13
Sep-13
Oct-13
Nov-13
Dec-13
Jan-14
Feb-14
Mar-14
Apr-14
May-14
Jun-14

Chart 6: Reverse repo operations in Jan-June 2014



Private sector credit from overseas sources has grown rapidly. Private credit growth from domestic sources registered 11.4% growth in end May 2014 compared with a year earlier. In addition to access to credit from domestic sources, Bangladeshi corporates can tap foreign sources of financing, including two new facilities which started in FY13. The addition of external borrowing with domestic borrowing implies that total private sector credit growth for May 2014 was 15.7%. One existing channel is borrowing by corporates for term credit purposes with most having a maturity beyond five years – around US $2.6 was approved in FY14 while US $2.4 billion was approved in FY13 compared with US $1.8 billion in FY12. In addition private capital flows to local corporates have also grown due to the addition of short term foreign currency loans for working capital purposes in the form of 'buyers credit' (which importers can avail with a tenure of upto one year) and 'discounted export bills'. Buyers credit in particular has grown sharply from about $600 million in April 2013 to $3.2 billion in April 2014. In order to avoid bunching of bullet repayments, mandatory quarterly repayments have been instituted by BB.

Call money rates fell in H2FY14 but average retail interest rate spreads rose above 5%. Call money rates have declined since their peaks in early 2012 when they were around 20%, and also fell in H2FY13 from around 10% in January 2013 to around 7% in June 2013 and around 7-8% in H1FY14 (chart 7). In H2FY14 call money rates fell further from 7.17% in January 2014 to 6.23% in June 2014. High liquidity levels are also reflected in below average loan to deposit ratios. At the retail level both deposit and lending rates fell in H2FY14 and interest rate spreads have on average increased – from 4.99% in January 2014 to 5.22% in May 2014 as the deposit rates have fallen faster than lending rates (see chart 8). Domestic lending rates have fallen due to lower cost of funds for banks, lower demand for credit as well as due to increasing competition from overseas lenders whose lending rates are in single digits.

Chart 7: Call Money Rate, Yield on 91-Day T. Bill and Interest Rate Spread

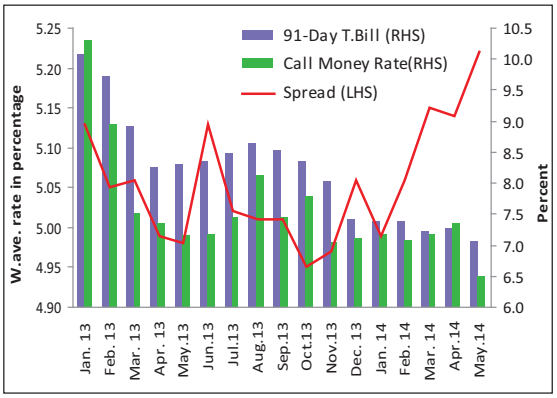
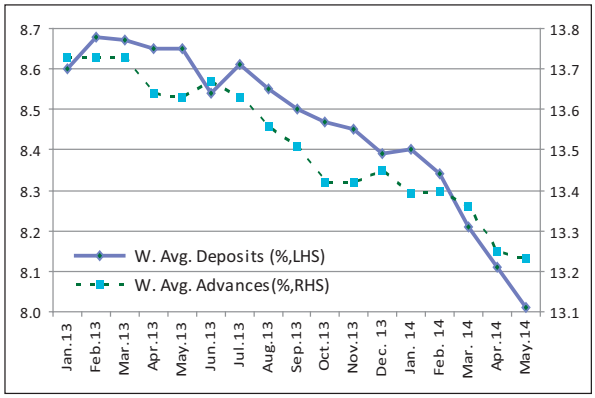


Chart-8: Monthly Weighted Average Deposit and Lending Rates



Banking sector repayment and profitability indicators have shown mixed performance. The ratio of non-performing loans (NPL), in both gross and net terms, increased at the end of Q3FY14 compared with end-Q2FY14. Gross NPL went up from 8.9 percent at the end of Q2FY14 to 10.5 percent at the end of Q3FY14. The deterioration was across the board for all type of banks except FCBs, but particularly for SOCBs and specialized banks. The reasons include having to classify loans stemming from the well-publicized scams in the banking sector as well as difficulties in loan repayment due to the economic disruptions resulting from national strikes. During Q3 FY14, the capital adequacy ratio (CAR) for all banks decreased slightly to 11.3 percent from 11.5 percent in Q2FY14 though still surpassing the minimum 10% regulatory requirement. Among the profitability measures, return on asset (ROA) in the banking sector improved from 0.64 percent at the end of December 2012 to 0.90 percent at the end of December 2013. This was primarily due to an approximately 18.0 percent increase in non-interest income (especially from investments in Government securities) and small provision deduction requirement for bad debt by SCBs in 2013 under the temporarily relaxed loan rescheduling policy. Return on equity (ROE) of the banking industry also increased to 10.8 percent at the end of December 2013 from 8.2 percent at the end of December 2012. The steps to further strengthen these indicators are outlined in the key forward-looking policy measures section later in this document.

Analysis of the economic purpose of outstanding loans to the private sector indicates that over the past year there has been a small increase in the share of loans going to the agriculture sector (from 5.5% in March 2013 to 5.8% in March 2014). The share of loans going towards trading activities has increased from 36.4% in March 2013 to 39.0% in March 2014 while there has been a slight reduction in the share of loans towards transport and communication (1.5% in March 2013 to 1.3% in March 2014). The share of industrial term loans in total outstanding credit decreased from 22.0% in March 2013 to 16.4% in March 2014 while the share of working capital financing has grown (from 13.2% to 18.0% during this period). The share of construction loans has remained unchanged (at 9.5%) compared to a year earlier.

Monetary policy stance for H1 FY15

The monetary stance in H1 FY15 takes these recent economic and financial sector developments into account and will target a monetary growth path which aims to bring average inflation down to 6.5% by June 2015, while ensuring that credit growth is sufficient to stimulate inclusive economic growth. This would require a monetary program framework that limits reserve money growth to 15.5% and broad money growth to 16% by December 2014. BB will have a ceiling on net domestic assets as a key operating target. The ceiling for private sector credit growth of 16.5% including foreign borrowing, and 14% from local sources by December 2014, is based on an assessment of the extent that credit growth could realistically pick-up given current levels of around 11.4% from domestic sources and 15.7% including foreign borrowing. This level is sufficient to accommodate any substantial rise in investment and trade-finance over the next six months. By June 2015, our current monetary program anticipates a further pick-up in private sector credit from domestic sources to 15.5%. BB views these figures as indicative ceilings – banks continue to be advised to lend only to creditworthy clients for productive purposes and whether this ceiling is reached or not depends ultimately on investor appetite and the bank's assessment of project viability.

There are a number of key policy measures, and assumptions, underlying this program:

Table 4: Monetary Aggregates (Y-o-Y growth in percent)

Items	Actual				Program	
	FY11	FY12	FY13	May.14	Dec.14	Jun.15
1. Net Foreign Assets@	6.2	7.8	50.1	39.1	30.3	16.8
2. Net Domestic Assets	24.7	19.2	11.1	9.9	12.4	16.4
Domestic Credit	27.5	19.2	10.9	10.1	13.8	17.3
Credit to the public sector (incld. Govt.)	34.6	17.4	11.1	5.3	12.9	24.8
Credit to the private sector	25.8	19.7	10.8	11.4	14.0*	15.5
3. Broad money	21.4	17.4	16.7	15.2	16.0	16.5
4. Reserve money	21.1	9.0	15.0	10.8	15.5	16.0

@ Constant exchange rates of June 2011 have been used.
* Once borrowing from foreign sources is included this indicative ceiling rises to 16.5% in December 2014

First, BB will continue to focus on achieving its inflation targets while providing sufficient space in its monetary program for lending to activities which support broad-based investment and inclusive growth objectives. BB will use both monetary and financial sector policy instruments to achieve these goals. The persisting inflationary pressures over the past few months with the risks ahead related to the inflation outlook (described earlier) imply that achieving the FY15 inflation target of 6.5% will be challenging. As such BB has decided to keep policy rates unchanged. The Cash Reserve Requirement (CRR) was raised in June 2014 by 50 basis points to absorb part of the excess liquidity and help contain inflation – this remains unchanged.

Second, in order to support economic growth, BB has already taken a number of important policy steps which will continue during H1FY15:

- The size of the Export Development Fund was raised from $1.2 billion to $1.5 billion and this will be reviewed periodically in line with demand and productive use of these funds. Moreover the single party ceiling was raised from $12 million to $15 million.
- As an investment incentive, foreign investors are now allowed to source term loans from local banks and access working capital as an interest free loan from their parent company.

Third, limiting Government borrowing from the banking sector is important for achieving inflation targets and providing the space for banks to lend to the private sector. The H1FY15 monetary program assumes that any unanticipated spending pressures will be accommodated within the sizeable (312 billion taka) borrowing limit set in the FY15 Budget. This is likely to be possible as Ministry of Finance has an established track record of keeping within this borrowing limit. Fiscal-monetary coordination will continue among senior policymakers with regular meetings of a Coordination Council and at the operational level where one key coordinating body is the Cash and Debt Management Committee which meets quarterly.

Fourth, effective transmission of monetary policy requires well-functioning, broader and deeper credit and debt markets. This in turn has a number of dimensions:

- *Promoting interest rate flexibility by tackling asset quality issues* – A number of steps were taken in H2FY14 and will continue in the coming months to strengthen the financial system and improve asset quality. Since the non-performing loans are concentrated among SOCBs, a stringent

financial improvement plan for four SOCBs and Basic Bank is being enforced. These include differential ceilings on loan growth varying according to bank performance indicators, and the need to provide regular reporting to BB on a number of issues including loans beyond a certain limit, single borrower exposure, off-balance sheet items etc. An initial tranche of recapitalization funds was disbursed in FY14. Future tranche releases are conditional on meeting bank automation targets. SOCB boards have recently developed strengthened internal control and compliance polices. Detailed guidelines were issued to all banks on improving corporate governance in line with the amended Bank Companies Act. BB will closely monitor adherence to these guidelines, which in turn are expected to improve asset quality.

- *Strengthening financial inclusion and diversification* - BB's ongoing financial inclusion campaign, coupled with recent issuance of agent banking guidelines, are designed to extend outreach of financial services into remaining pockets of exclusion in under-served areas and among under-served clients. Mobile phone financial services are growing with 16.1 million account holders in May 2014. However these are largely limited to payment services among individuals and going forward BB would like to promote their use for government and business payments, as well as broadening this into a wider range of banking services. Overall there has been a greater emphasis on providing services to rural clients by enforcing a 1:1 rural – urban new branch ratio (which was 1:4 prior to 2012) and this is reflected in a larger share of rural deposits (18.2% of total deposits in March 2014 compared with 13% in 2010) and loans to rural areas (10% share in March 2014 compared with 8% in 2010). 14 million no-frill '10 taka accounts' have been opened by the end of June 2014 compared with 13.2 million at the end June 2013. BB has also set up a 2 billion taka refinancing facility via micro-finance institutions, to provide small loans to those lower-income rural households who have set up 'ten-taka' accounts. Close monitoring of SME and agricultural credit will help ensure that these loans are going to the intended clients and having their desired impact. In general banks will be asked to focus more on the smaller end of the SME spectrum. Efforts at promoting socially responsible banking also include focused initiatives on 'green banking' and on corporate social responsibility. Access to a diverse pool of financing is also important for entrepreneurs and BB will continue to encourage larger borrowers to access the capital market given single borrower exposure limits for banks. While primarily an SEC issue, BB will be supportive of the capital market through on-going deeper regulatory coordination and policy support. Moreover in order to fill the gaps in the financial landscape, BB has begun a review of rules governing private equity along with SEC.

- *Strengthening domestic debt markets* Promoting trading in corporate papers and asset-backed securities will remain important for market development which will also increase interest rate flexibility. Also longer term savings can be mobilized by promoting pension and provident funds and steps to create the appropriate regulatory and policy framework is an important medium run priority to develop debt markets. Ensuring government borrowing from the banking system does not crowd out available liquidity for commercial banks will remain a key area of focus for BB. There has been significant appetite for Treasury instruments and a sharp reduction in devolvement as discussed earlier, which is a positive step in debt market development.

Fifth, this monetary policy stance also aims to further consolidate the country's external sector stability. BB anticipates further build-up in foreign reserves in H1FY15 though at a more moderate pace than FY14 due to the balance of payments assumptions discussed earlier. Over the next few months BB will continue to work closely with MOF to review the Foreign Exchange Regulations Act in light of the fact that Bangladesh will be increasingly integrated with global financial and product markets. BB will continue to support a market-based exchange rate while seeking to avoid excessive foreign exchange rate volatility.

The outcomes of the monetary program and policies pursued in H1 FY15 will be reviewed in December 2014 in light of prevailing global and domestic economic conditions. In the meantime monthly Monetary Policy Committee meetings will continue in order to make necessary policy adjustments.

Annex 1: Balance of Payments

In million US$

	2011-12 Actual	2012-13 Provisional	2013-14 Estimation
Trade balance	**-9,320**	**-7,010**	**-6,914**
Services	**-3,001**	**-3,159**	**-3,847**
Primary income	**-1,549**	**-2,315**	**-2,217**
Secondary income	**13,423**	**15,009**	**14,769**
Of which: Workers' remittances	12,734	14,338	14,109
CURRENT ACCOUNT BALANCE	**-447**	**2525**	**1791**
Capital account	**482**	**588**	**700**
Financial account	**1436**	**3209**	**3180**
Foreign Direct investment	1191	1730	1550
Errors and omissions	**-977**	**-1194**	**229**
OVERALL BALANCE	**494**	**5128**	**5900**
Reserve Assets	**-494**	**-5128**	**-5900**
Bangladesh Bank	-494	-5128	-5900
Assets	293	5196	6243
Liabilities	-201	68	343

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance.

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